

Paradox of value

For example, if you are walking along a shingle riverbank and see a diamond glittering among the stones, you will probably pick it up and take it home. This is because you consider it to be valuable. More valuable than the other stones, and certainly more valuable than the water in the river. But in some ways your idea of what is valuable seems illogical. Water is essential for us to live, yet we do not value it as highly as a diamond, which has almost no immediate practical use.

The answer to this “paradox of value” is that the diamond has scarcity value, while the water does not. The water is freely available and in plentiful supply.

What’s the use?

In addition to this, we also get different kinds of pleasure or satisfaction from the two different goods. The satisfaction you get from having and using a good is known as “utility,” and this changes with the amount of the good that you consume. If you get thirsty on your riverside walk, the first drop of water you have will be the most satisfying, and after that each sip is slightly less so. The first diamond you find is thrilling, but because it takes time and effort to find another, the next diamond you find will be not quite so exciting. The more there is of something, the greater the decrease in marginal utility—or the satisfaction you get from each use of it. In economics, it is said that the marginal utility of each extra drop of water is very low, but the marginal utility of each extra diamond is very high.